

OPTION BUYING

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- Position sizing = $\text{Risk} / \text{SI points} * \text{Delta}$
- Example:
- 1L capital :
- Risk = 1.3%
- SI points = 20
- Delta = 0.5 (ATM)
- $1300 / 20 * 0.5 = 130 \text{ Qty}$ (2lots of nifty)
- So, the max loss from trade with 2 lots of nifty is ₹1300

Step by Step guide on How to Take a Trade

- Confirm a trade using your setup, if upside CE buy, if downside PE buy. For example:



- In the above example, the entry got triggered at 26107, and based on my analysis I would go for CE buy.
- So, for that we have to first select a strike, here I'm going with ATM which is at 26107 (near to our spot price 26107)
- Steps:

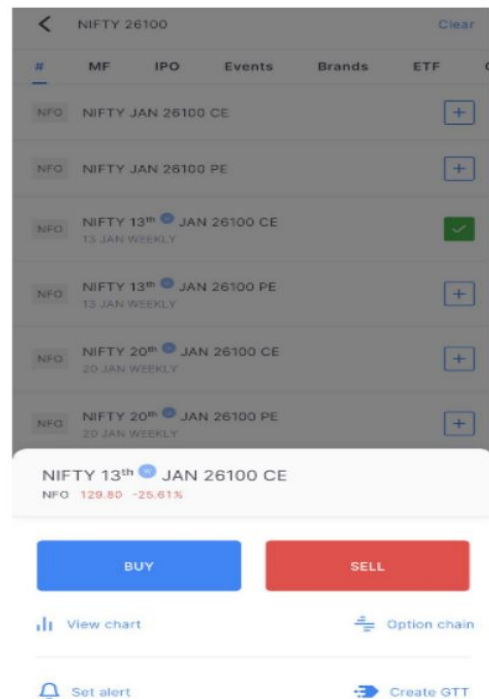
1. Go to your broker search nifty 26100 ce

1:09

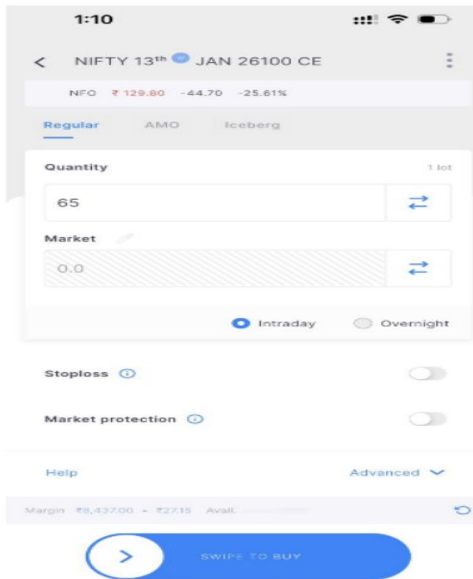
< NIFTY 26100 Clear

#	MF	IPO	Events	Brands	ETF	
NFO	NIFTY JAN 26100 CE					+
NFO	NIFTY JAN 26100 PE					+
NFO	NIFTY 13 th JAN 26100 CE 13 JAN WEEKLY					✓
NFO	NIFTY 13 th JAN 26100 PE 13 JAN WEEKLY					+
NFO	NIFTY 20 th JAN 26100 CE 20 JAN WEEKLY					+
NFO	NIFTY 20 th JAN 26100 PE 20 JAN WEEKLY					+
NFO	NIFTY FEB 26100 CE					+
NFO	NIFTY FEB 26100 PE					+
NFO	NIFTY 03 rd FEB 26100 CE 03 FEB WEEKLY					+
NFO	NIFTY 03 rd FEB 26100 PE 03 FEB WEEKLY					+
NFO	NIFTY 10 th FEB 26100 CE 10 FEB WEEKLY					+

2. Then select buy



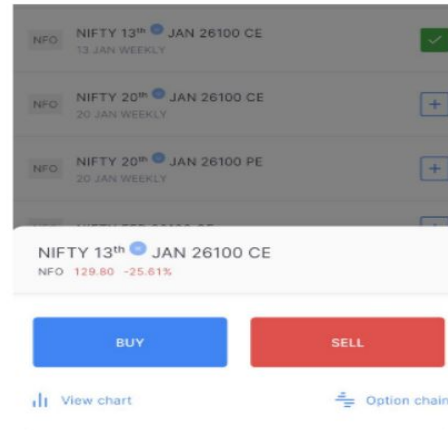
3. Finally place the order, select the quantity at market price you can place your order.

A screenshot of the entri trading app interface. At the top, the time is 1:10. The header shows 'NIFTY 13th JAN 26100 CE' with a price of ₹ 129.60, a change of -44.70, and a percentage of -25.61%. Below this are tabs for 'Regular', 'AMO', and 'Iceberg'. The 'Quantity' field is set to 65, and the 'Market' field is set to 0.0. There are radio buttons for 'Intraday' (selected) and 'Overnight'. Below these are toggle switches for 'Stoploss' and 'Market protection'. At the bottom, there is a 'Help' link, an 'Advanced' dropdown, and a status bar showing 'Margin ₹8,437.00', '₹2715', and 'Avail. ₹1,00,000'. A large blue button with a right arrow and the text 'SWIPE TO BUY' is at the very bottom.

- As you can see, for this trade where I have taken 1 lot the required margin is given below, 8437 rupees.
- Before entering into a trade make sure to watch the premium chart and do correct analysis on where to put your stop loss even before entering into the trade, because risk management is the key for consistency in option buying

- Q.What is a premium chart?
- The market price of an options contract.
- In the above example where we took the strike as 26100 ce, look at 26100 ce premium chart

CLICK ON VIEW CHART OPTION

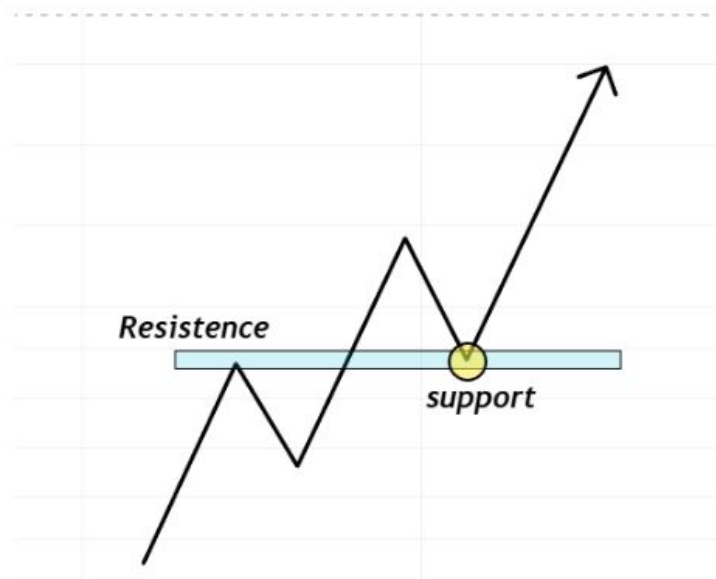




Live 2 - Price Action Strategy

1. Role of Reversal:

- Look for a particular trend, to say if the market is in an uptrend, we would look if any resistance breaks and give a retest to that level again, if it does with a candle confirmation hit the buy button.



How to enter:

- Look for market trend, when for level break
- When market takes support (CE Buy) or resistance (Put Buy) at that level
- Look for candle confirmation at lower time frame for entry (1min, 3min or 5min)

How to exit:

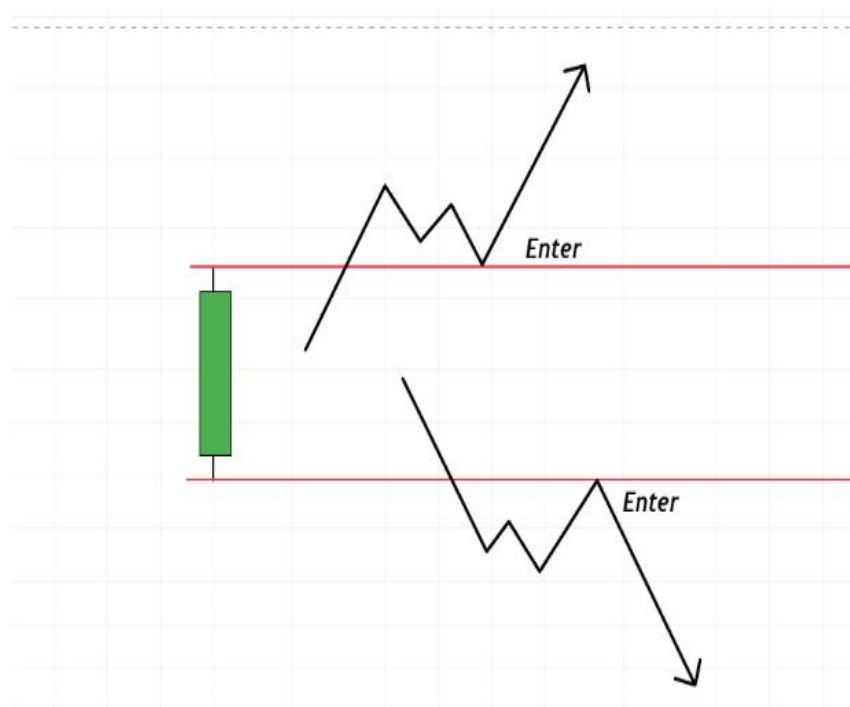
- Exit at the next resistance level when CE buy
- Exit at the next support level when PEBuy





2. Morning candle Retest

- So basically this setup is taken for catching the morning momentum. If the market breaks the 1st 5 min candle in either direction look for a retest in that level and with candle confirmation plan the trade.



How to Enter:

- Look for the first 5 min candle to form (9:15 to 9:20)
- Once the high breaks plan for Ce buy when market gives a retest to the level, after candle confirmation
- Once the low break plan for Pe buy when market gives retest to the level, after candle confirmation
- Target is next immediate support and resistance level
- Stop loss has to be kept above the entry level giving a small breathing space

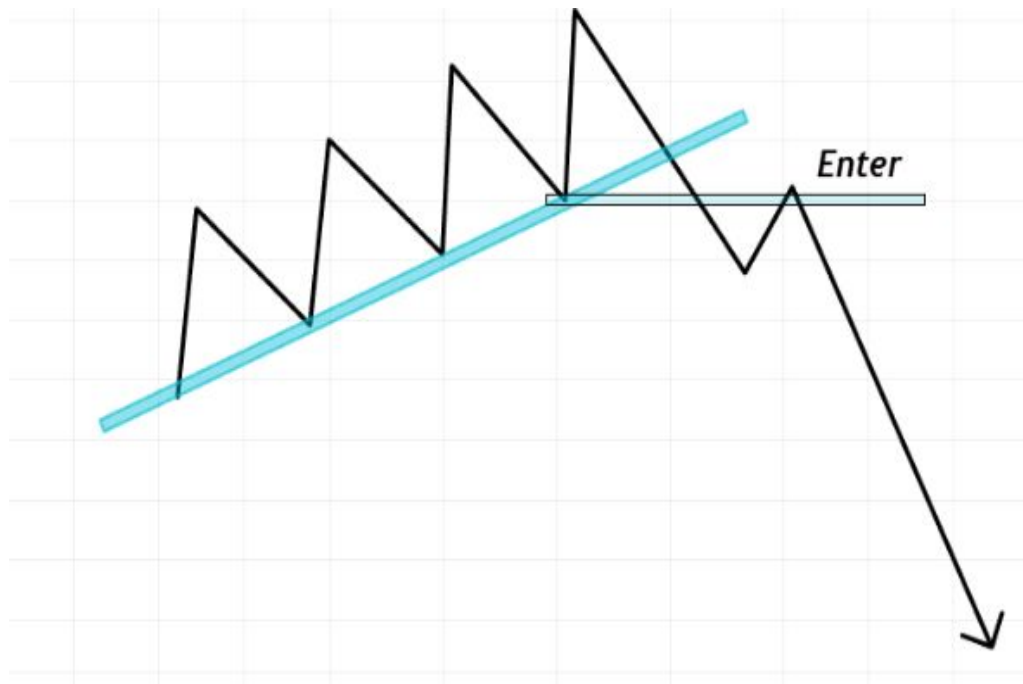




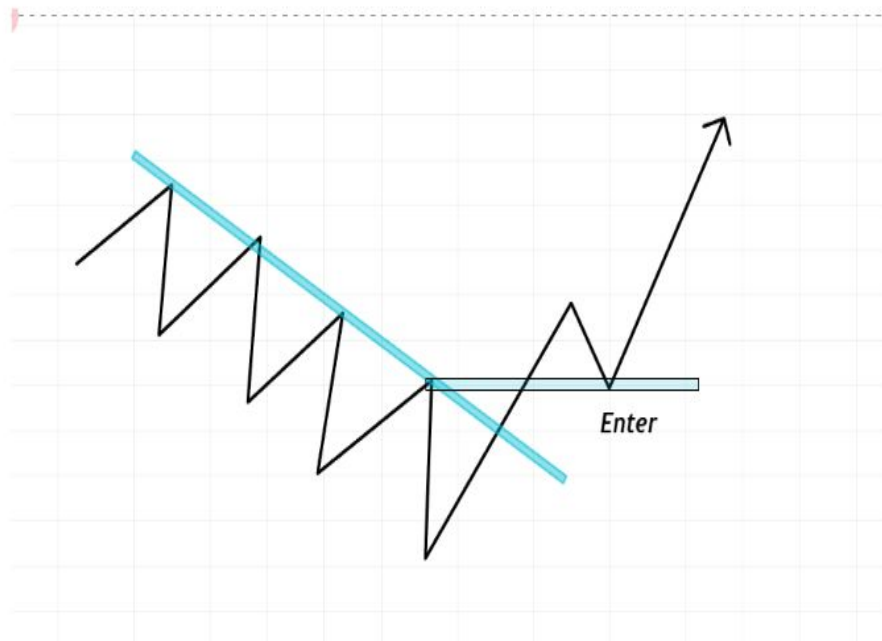
3. Trendline

- So for this setup, first a trendline has to form, it can be bullish or bearish trendline, the wait for a breakout of the trendline in opposite direction and then we would plan the trade when market gives retest to the level

Bullish trendline:



Bearish Trendline:



Bearish Trendline

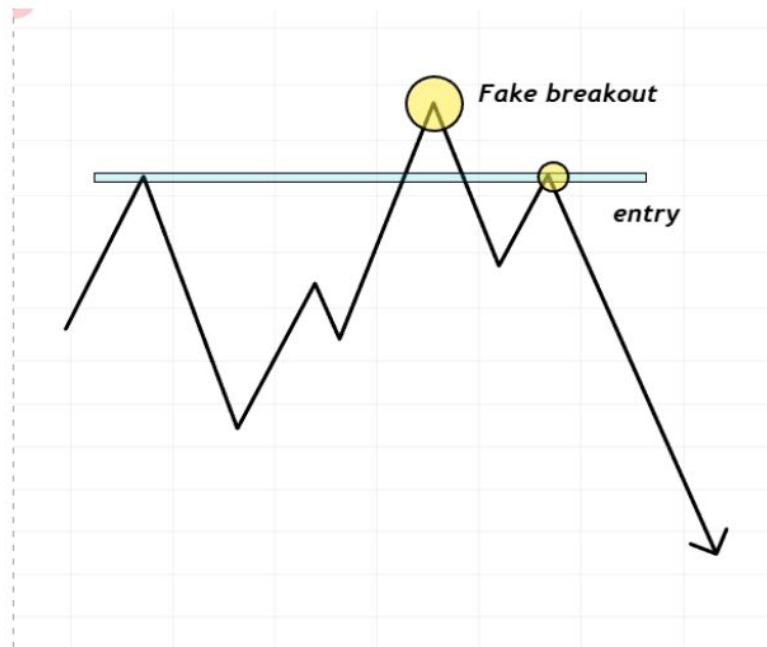


Bullish Trendline:



4. Liquidity sweep

- So, for this setup first identify any higher time frame swing high or swing low levels, and wait for that level to get a false breakout once that happens trade in the opposite direction where the breakout took place.



How to Enter:

- Look for swing high or swing low sweep.
- Use a time frame to identify sweeps in 15 min. 45 min or 1 hr for intraday
- After sweep, shift to a lower time frame and plan for the trade.
- Keep sl just above the entry area and target to the immediate support or resistance level









THANK YOU